

1 ENGROSSED HOUSE
2 BILL NO. 1739

By: Chapman, Moore, Ford, and
Caldwell (Trey) of the
House

3
4 and

5 Paxton of the Senate
6

7 An Act relating to retirement; amending 62 O.S. 2021,
8 Section 3103, as last amended by Section 2, Chapter
9 361, O.S.L. 2024 (62 O.S. Supp. 2025, Section 3103),
10 which relates to the Oklahoma Pension Legislation
11 Actuarial Analysis Act; modifying terms; amending 47
12 O.S. 2021, Sections 2-304, as amended by Section 2,
13 Chapter 45, O.S.L. 2025, and 2-305, as last amended
14 by Section 9, Chapter 151, O.S.L. 2023 (47 O.S. Supp.
15 2025, Sections 2-304 and 2-305), which relate to the
16 Oklahoma Law Enforcement Retirement System; modifying
17 employer contribution; modifying employee
18 contribution; modifying top base salary provisions;
19 modifying positions that receive certain benefit
20 computation; providing that certain provisions apply
21 to certain individuals; providing effective dates;
22 providing for contingent effective dates based on
23 outcome of approval of the emergency clause; and
24 declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 62 O.S. 2021, Section 3103, as
last amended by Section 2, Chapter 361, O.S.L. 2024 (62 O.S. Supp.
2025, Section 3103), is amended to read as follows:

Section 3103. As used in the Oklahoma Pension Legislation
Actuarial Analysis Act:

1 1. "Amendment" means any amendment, including a substitute
2 bill, made to a retirement bill by any committee of the House of
3 Representatives or Senate, any conference committee of the House or
4 Senate or by the House or Senate;

5 2. "RB number" means that number preceded by the letters "RB"
6 assigned to a retirement bill by the respective staffs of the
7 Oklahoma State Senate and the Oklahoma House of Representatives when
8 the respective staff office prepares a retirement bill for a member
9 of the Legislature;

10 3. "Legislative Actuary" means the firm or entity that enters
11 into a contract with the Legislative Service Bureau pursuant to
12 Section 452.15 of Title 74 of the Oklahoma Statutes to provide the
13 actuarial services and other duties provided for in the Oklahoma
14 Pension Legislation Actuarial Analysis Act;

15 4. "Nonfiscal amendment" means an amendment to a retirement
16 bill having a fiscal impact, which amendment does not change any
17 factor of an actuarial investigation specified in subsection A of
18 Section 3109 of this title;

19 5. "Nonfiscal retirement bill" means a retirement bill:

- 20 a. which does not affect the cost or funding factors of a
21 retirement system,
- 22 b. which affects such factors only in a manner which does
23 not:

- (1) grant a benefit increase under the retirement system affected by the bill,
 - (2) create an actuarial accrued liability for or increase the actuarial accrued liability of the retirement system affected by the bill, or
 - (3) increase the normal cost of the retirement system affected by the bill,
- c. which authorizes the purchase by an active member of the retirement system, at the actuarial cost for the purchase as computed pursuant to the statute in effect on the effective date of the measure allowing such purchase, of years of service for purposes of reaching a normal retirement date in the applicable retirement system, but which cannot be used in order to compute the number of years of service for purposes of computing the retirement benefit for the member,
- d. which provides for the computation of a service-connected disability retirement benefit for members of the Oklahoma Law Enforcement Retirement System pursuant to Section 2-305 of Title 47 of the Oklahoma Statutes if the members were unable to complete twenty (20) years of service as a result of the disability,
- e. which requires membership in the defined benefit plan authorized by Section 901 et seq. of Title 74 of the

Oklahoma Statutes for persons whose first elected or appointed service occurs on or after November 1, 2018, if such persons had any prior service in the Oklahoma Public Employees Retirement System prior to November 1, 2015,

f. which provides for a one-time increase in retirement benefits if the increase in retirement benefits is not a permanent increase in the gross annual retirement benefit payable to a member or beneficiary, occurs only once pursuant to a single statutory authorization and does not exceed:

(1) the lesser of two percent (2%) of the gross annual retirement benefit of the member or One Thousand Dollars (\$1,000.00) and requires that the benefit may only be provided if the funded ratio of the affected retirement system would not be less than sixty percent (60%) but not greater than eighty percent (80%) after the benefit increase is paid,

(2) the lesser of two percent (2%) of the gross annual retirement benefit of the member or One Thousand Two Hundred Dollars (\$1,200.00) and requires that the benefit may only be provided if the funded ratio of the affected retirement

1 system would be greater than eighty percent (80%)
2 but not greater than one hundred percent (100%)
3 after the benefit increase is paid,

4 (3) the lesser of two percent (2%) of the gross
5 annual retirement benefit of the member or One
6 Thousand Four Hundred Dollars (\$1,400.00) and
7 requires that the benefit may only be provided if
8 the funded ratio of the affected retirement
9 system would be greater than one hundred percent
10 (100%) after the benefit increase is paid, or

11 (4) the greater of two percent (2%) of the gross
12 annual retirement benefit of the volunteer
13 firefighter or One Hundred Dollars (\$100.00) for
14 persons who retired from the Oklahoma
15 Firefighters Pension and Retirement System as
16 volunteer firefighters and who did not retire
17 from the Oklahoma Firefighters Pension and
18 Retirement System as a paid firefighter.

19 As used in this subparagraph, "funded ratio" means the
20 figure derived by dividing the actuarial value of
21 assets of the applicable retirement system by the
22 actuarial accrued liability of the applicable
23 retirement system,
24

- 1 g. which modifies the disability pension standard for
2 police officers who are members of the Oklahoma Police
3 Pension and Retirement System as provided by Section
4 50-115 of Title 11 of the Oklahoma Statutes,
5 h. which provides a cost-of-living benefit increase
6 pursuant to the provisions of:
7 (1) Section 49-143.7 of Title 11 of the Oklahoma
8 Statutes,
9 (2) Section 50-136.9 of Title 11 of the Oklahoma
10 Statutes,
11 (3) Section 1104K of Title 20 of the Oklahoma
12 Statutes,
13 (4) Section 2-305.12 of Title 47 of the Oklahoma
14 Statutes,
15 (5) Section 17-116.22 of Title 70 of the Oklahoma
16 Statutes,
17 (6) Section 930.11 of Title 74 of the Oklahoma
18 Statutes,
19 i. which modifies the computation of the line-of-duty
20 disability benefit pursuant to the provisions of this
21 section and Sections 50-101 and 50-115 of Title 11 of
22 the Oklahoma Statutes, ~~or~~
23 j. which authorizes membership in the Oklahoma Law
24 Enforcement Retirement System for active commissioned

1 or CLEET-certified agents of the Office of the
2 Attorney General or the Military Department of the
3 State of Oklahoma pursuant to Sections ~~3~~ 2-309.9 and ~~4~~
4 2-309.10 of ~~this act~~ Title 47 of the Oklahoma
5 Statutes, or

6 k. which modifies employer and employee contribution
7 rates and expands eligibility for certain benefits
8 pursuant to Sections 2 and 3 of this act.

9 A nonfiscal retirement bill shall include any retirement bill that
10 has as its sole purpose the appropriation or distribution or
11 redistribution of monies in some manner to a retirement system for
12 purposes of reducing the unfunded liability of such system or the
13 earmarking of a portion of the revenue from a tax to a retirement
14 system or increasing the percentage of the revenue earmarked from a
15 tax to a retirement system;

16 6. "Reduction-in-cost amendment" means an amendment to a
17 retirement bill having a fiscal impact which reduces the cost of the
18 bill as such cost is determined by the actuarial investigation for
19 the bill prepared pursuant to Section 3109 of this title;

20 7. "Retirement bill" means any bill or joint resolution
21 introduced or any bill or joint resolution amended by a member of
22 the Legislature which creates or amends any law directly affecting a
23 retirement system. A retirement bill shall not mean a bill or
24 resolution that impacts the revenue of any state tax in which a

portion of the revenue generated from such tax is earmarked for the benefit of a retirement system;

8. "Retirement bill having a fiscal impact" means any retirement bill creating or establishing a retirement system and any other retirement bill other than a nonfiscal retirement bill; and

9. "Retirement system" means the Teachers' Retirement System of Oklahoma, the Oklahoma Public Employees Retirement System, the Uniform Retirement System for Justices and Judges, the Oklahoma Firefighters Pension and Retirement System, the Oklahoma Police Pension and Retirement System, the Oklahoma Law Enforcement Retirement System, or a retirement system established after January 1, 2006.

SECTION 2. AMENDATORY 47 O.S. 2021, Section 2-304, as last amended by Section 2, Chapter 45, O.S.L. 2025 (47 O.S. Supp. 2025, Section 2-304), is amended to read as follows:

Section 2-304. A. ~~Participating~~ Effective July 1, 2026, participating employers shall contribute ~~to the fund~~ an amount equal to ~~eleven percent (11%)~~ a percentage of the actual paid base salary of each member- as follows:

<u>July 1, 2026, through June 30, 2027</u>	<u>12.5%</u>
<u>July 1, 2027, through June 30, 2028</u>	<u>13.5%</u>
<u>July 1, 2028, through June 30, 2029</u>	<u>14.5%</u>
<u>July 1, 2029, through June 30, 2030</u>	<u>15.5%</u>

1 July 1, 2030, through June 30, 2031, and

2 each year thereafter 16.5%

3 B. Each member of the System shall make contributions to the
4 fund in an amount equal to ~~eight percent (8%)~~ nine percent (9%) of
5 the actual paid base salary of the member.

6 Member contributions shall be deducted by each participating
7 employer for such benefits as the Board is by law authorized to
8 administer and shall be remitted monthly, or as the Board may
9 otherwise provide, for deposit in the fund.

10 C. Each employer shall pick up under the provisions of Section
11 414(h) (2) of the Internal Revenue Code of 1986 and pay the
12 contribution which the member is required by law to make to the
13 System for all compensation earned after December 31, 1989.
14 Although the contributions so picked up are designated as member
15 contributions, such contributions shall be treated as contributions
16 being paid by the employer in lieu of contributions by the member in
17 determining tax treatment under the Internal Revenue Code of 1986
18 and such picked up contributions shall not be includable in the
19 gross income of the member until such amounts are distributed or
20 made available to the member or the beneficiary of the member. The
21 member, by the terms of this System, shall not have any option to
22 choose to receive the contributions so picked up directly and the
23 picked up contributions must be paid by the employer to the System.

1 Member contributions which are picked up shall be treated in the
2 same manner and to the same extent as member contributions made
3 prior to the date on which member contributions were picked up by
4 the participating employer. Member contributions so picked up shall
5 be included in gross salary for purposes of determining benefits and
6 contributions under the System.

7 The employer shall pay the member contributions from the same
8 source of funds used in paying salary to the member, by effecting an
9 equal cash reduction in gross salary of the member.

10 SECTION 3. AMENDATORY 47 O.S. 2021, Section 2-305, as
11 last amended by Section 9, Chapter 151, O.S.L. 2023 (47 O.S. Supp.
12 2025, Section 2-305), is amended to read as follows:

13 Section 2-305. A. Except as otherwise provided in this title,
14 at any time after attaining normal retirement date, any member of
15 the Oklahoma Law Enforcement Retirement System upon application for
16 unreduced retirement benefits made and approved, may retire, and,
17 during the remainder of the member's lifetime, receive annual
18 retirement pay, payable in equal monthly payments, equal to two and
19 one-half percent (2 1/2%) of the final average salary times years of
20 credited service. If such retired member is reemployed by a state
21 agency in a position which is not covered by the System, such
22 retired member shall continue to receive in-service distributions
23 from the System. Prior to September 19, 2002, if such retired
24 member was reemployed by a state agency in a position which is

covered by the System, such member shall continue to receive in-service distributions from the System and shall not accrue any further credited service. If such a member is reemployed by a state agency in a position which is covered by the System on or after September 19, 2002, such member's monthly retirement payments shall be suspended until such member retires and is not reemployed by a state agency in a position which is covered by the System.

B. Beginning July 1, 1994, members who retired or were eligible to retire prior to July 1, 1980, or their surviving spouses shall receive annual retirement pay, payable in equal monthly payments, equal to the greater of their current retirement pay, or two and one-half percent (2 1/2%) of the actual paid gross salary being currently paid to a highway patrol officer, at the time each such monthly retirement payment is made, multiplied by the retired member's years of credited service.

C. Except as otherwise provided by this subsection, members of the System whose salary is set by statute who have retired after completion of the mandatory twenty (20) years of service, and those members with statutory salaries who retire after reaching the mandatory twenty-year retirement shall receive an annual retirement pay, payable in equal monthly installments, based upon the greater of either:

1. The top base salary currently paid to the highest nonsupervisory position in the participating agency at the time each

1 such monthly retirement payment is made, limited to the annual
2 salary limit of the Economic Growth and Tax Relief Reconciliation
3 Act of 2001, as described in paragraph 9 of Section 2-300 of this
4 title, multiplied by two and one-half percent (2 1/2%), multiplied
5 by the number of years of credited service and fraction thereof for
6 the following positions:

- 7 a. Oklahoma Highway Patrolman,
- 8 b. Communications Dispatcher,
- 9 c. Capitol Patrolman,
- 10 d. Lake Patrolman, and
- 11 e. Oklahoma State Bureau of Investigation - Special Agent
12 or Criminalist; or

13 2. The member's final average salary as set forth in paragraph
14 9 of Section 2-300 of this title, multiplied by two and one-half
15 percent (2 1/2%), and multiplied by the number of years of credited
16 service and fraction thereof.

17 No member of the System retired prior to July 1, 2002, shall
18 receive a benefit less than the amount the member is receiving as of
19 June 30, 2002.

20 The provisions of paragraph 1 of this subsection shall ~~not be~~
21 ~~applicable to any member whose first participating service with the~~
22 ~~System occurs on or after November 1, 2012, except for~~ include those
23 members who died in the performance of their duties pursuant to
24 Section 2-306 of this title.

1 D. Other members of the System whose retirement benefit is not
2 otherwise prescribed by this section who have retired after
3 completion of the mandatory twenty (20) years of service, and those
4 members who retire after reaching the mandatory twenty-year
5 retirement shall receive an annual retirement pay, payable in equal
6 monthly payments, based upon the greater of either:

7 1. The actual average salary currently paid to the highest
8 nonsupervisory position in the participating agency at the time each
9 such monthly payment is made, limited to the annual salary limit of
10 the Economic Growth and Tax Relief Reconciliation Act of 2001, as
11 described in paragraph 9 of Section 2-300 of this title, multiplied
12 by two and one-half percent (2 1/2%), multiplied by the number of
13 years of credited service and fraction thereof for the following
14 positions:

- 15 a. Alcoholic Beverage Laws Enforcement Commission - ABLE
16 Commission Agent III,
17 b. Oklahoma State Bureau of Narcotics and Dangerous Drugs
18 Control - Narcotics Agent III,
19 c. Oklahoma Tourism and Recreation Department - Park
20 Ranger II,
21 d. State Board of Pharmacy - Pharmacy Inspector,
22 e. University of Oklahoma - Police Officer, ~~and~~
23 f. Oklahoma State University - Police Officer,
24 g. Attorney General Agent, and

1 h. Military Department Police Officer; or

2 2. The other member's final average salary as set forth in
3 paragraph 9 of Section 2-300 of this title, multiplied by two and
4 one-half percent (2 1/2%), multiplied by the number of years of
5 credited service and fraction thereof.

6 No member of the System retired prior to July 1, 2002, shall
7 receive a benefit less than the amount the member is receiving as of
8 June 30, 2002. The participating employer must certify to the
9 System in writing the actual average gross salary currently paid to
10 the highest nonsupervisory position. The Board of Trustees shall
11 promulgate such rules as are necessary to implement the provisions
12 of this section.

13 The provisions of paragraph 1 of this subsection shall ~~not be~~
14 ~~applicable to any member whose first participating service with the~~
15 ~~System occurs on or after May 24, 2013, except for~~ include those
16 members who died in the performance of their duties pursuant to
17 Section 2-306 of this title.

18 E. A member who meets the definition of disability as defined
19 in paragraph ~~11~~ 12 of Section 2-300 of this title by direct reason
20 of the performance of the member's duties as an officer shall
21 receive a monthly benefit equal to:

22 1. Two and one-half percent (2 1/2%);

23 2. Multiplied by:
24

- 1 a. twenty (20) years of credited service, if the member
2 had performed less than twenty (20) years of credited
3 service, notwithstanding the actual number of years of
4 credited service performed by the member prior to the
5 date of disability, or
- 6 b. the actual number of years of credited service and
7 fraction thereof performed by the member prior to the
8 date of disability, if the member had performed twenty
9 (20) or more years of credited service;

10 3. Multiplied by the greater of subparagraph a of this
11 paragraph and division 1 of subparagraph b of this paragraph or
12 division 2 of subparagraph b of this paragraph, as applicable:

- 13 a. the final average salary of the member, as set forth
14 in paragraph 9 of Section 2-300 of this title, and
- 15 b. (1) the top base salary currently paid to the highest
16 nonsupervisory position in the participating
17 agency of the member at the time each monthly
18 payment is made, limited to the annual salary
19 limit of the Economic Growth and Tax Relief
20 Reconciliation Act of 2001 described in paragraph
21 9 of Section 2-300 of this title, for the
22 following positions:
- 23 (a) Oklahoma Highway Patrolman,
24 (b) Communications Dispatcher,

- (c) Capitol Patrolman,
- (d) Lake Patrolman, and
- (e) Oklahoma State Bureau of Investigation -
Special Agent or Criminalist,

Provided, the participating employer must certify to the System in writing the top base salary currently paid to the highest nonsupervisory position for division (1) of subparagraph b of this paragraph, or

- (2) the actual average salary currently paid to the highest nonsupervisory position in the participating agency of the member at the time each monthly payment is made, limited to the annual salary limit of the Economic Growth and Tax Relief Reconciliation Act of 2001, described in paragraph 9 of Section 2-300 of this title, for the following positions:

- (a) Alcoholic Beverage Laws Enforcement (ABLE) Commission - ABLE Commission Agent III,
- (b) Oklahoma State Bureau of Narcotics and Dangerous Drugs Control - Narcotics Agent III,
- (c) Oklahoma Tourism and Recreation Department - Park Ranger II,

(d) State Board of Pharmacy - Pharmacy

Inspector,

(e) University of Oklahoma - Police Officer, ~~and~~

(f) Oklahoma State University - Police Officer,

(g) Attorney General Agent, and

(h) Military Department Police Officer,

Provided, the participating employer must certify to the System in writing the actual average gross salary currently paid to the highest nonsupervisory position for division (2) of subparagraph b of this paragraph;

4. No member of the System receiving benefits prescribed by this subsection who retired prior to July 1, 2002, shall receive a benefit of less than the amount the member was receiving as of June 30, 2002;

5. The Board of Trustees shall promulgate rules as necessary to implement the provisions of this subsection; and

6. If such member participates in the Oklahoma Law Enforcement Deferred Option Plan pursuant to Section 2-305.2 of this title, then such member's disability pension provided pursuant to this subsection shall be reduced to account for such member's participation in the Oklahoma Law Enforcement Deferred Option Plan.

F. A member who meets the definition of disability as defined in paragraph ~~11~~ 12 of Section 2-300 of this title and whose disability is by means of personal and traumatic injury of a

1 catastrophic nature and in the line of duty, shall receive a monthly
2 benefit equal to:

3 1. Two and one-half percent (2 1/2%);

4 2. Multiplied by:

5 a. twenty (20) years of service, regardless of the actual
6 number of years of credited service performed by the
7 member prior to the date of disability, if the member
8 had performed less than twenty (20) years of service,
9 or

10 b. the actual number of years of service performed by the
11 member if the member had performed twenty (20) or more
12 years of service;

13 3. Multiplied by a final average salary equal to:

14 a. the salary which the member would have received
15 pursuant to statutory salary schedules in effect upon
16 the date of the disability for twenty (20) years of
17 service prior to disability. The final average salary
18 for a member who performed less than twenty (20) years
19 of service prior to disability shall be computed
20 assuming that the member was paid the highest salary
21 allowable pursuant to the law in effect at the time of
22 the member's disability based upon twenty (20) years
23 of service and with an assumption that the member was
24 eligible for any and all increases in pay based upon

1 rank during the entire period. If the salary of a
2 member is not prescribed by a specific salary schedule
3 upon the date of the member's disability, the final
4 average salary for the member shall be computed by the
5 member's actual final average salary or the highest
6 median salary amount for a member whose salary was
7 prescribed by a specific salary schedule upon the date
8 of the member's disability, whichever final average
9 salary amount would be greater, or

- 10 b. the actual final average salary of the member if the
11 member had performed twenty (20) or more years of
12 service prior to disability.

13 If such member participates in the Oklahoma Law Enforcement
14 Deferred Option Plan pursuant to Section 2-305.2 of this title, such
15 member's disability pension provided pursuant to this subsection
16 shall be adjusted as provided in Section 2-305.2 of this title to
17 account for such member's participation in the Oklahoma Law
18 Enforcement Deferred Option Plan.

19 G. A member who meets the definition of disability as defined
20 in Section 2-300 of this title and whose disability occurred prior
21 to the member's normal retirement date but after completing three
22 (3) years of vesting service and not by reason of the performance of
23 the member's duties or as a result of the member's willful
24 negligence shall receive a monthly benefit equal to two and one-half

1 percent (2 1/2%) of final average salary multiplied by the number of
2 years of the member's credited service.

3 H. Payment of a disability pension shall commence as of the
4 first day of the month coinciding or next following the date of
5 retirement and shall continue as long as the member meets the
6 definition of total and permanent disability provided in this
7 section.

8 I. For the purpose of determining the member's disability under
9 subsection E, F or G of this section, the member shall be required
10 by the Board to be examined by a minimum of two recognized
11 physicians selected by the Board to determine the extent of the
12 member's injury or illness. The examining physicians shall furnish
13 the Board a detailed written report of the injury or illness of the
14 examined member establishing the extent of disability and the
15 possibilities of the disabled member being returned to his or her
16 regular duties or an alternate occupation or service covered by the
17 System after a normal recuperation period. The Board shall require
18 all retired disabled members who have not attained their normal
19 retirement date to submit to a physical examination once each year
20 for a minimum of three (3) years following retirement. The Board
21 shall select a minimum of two physicians to examine the retired
22 members and pay for their services from the fund. Any retired
23 disabled member found no longer disabled by the examining physicians
24 to perform the occupation of the member or an alternate occupation

1 or service covered by the System shall be required to return to duty
2 and complete twenty (20) years of service as provided in subsection
3 A of this section, or forfeit all his or her rights and claims under
4 Section 2-300 et seq. of this title.

5 J. The disability benefit under this section shall be for the
6 lifetime of the member unless such member is found no longer
7 disabled pursuant to subsection I of this section. Such member
8 shall not be entitled to the retirement benefit pursuant to
9 subsection A of this section unless such member returns to active
10 duty and is eligible for a retirement benefit as provided in
11 subsection A of this section.

12 K. At the postoffer, preemployment physical examination
13 required under paragraph 6 of Section 2-300 of this title, the
14 physician selected by the Board shall determine the extent to which
15 a new member is disabled. If a member is determined to be partially
16 disabled, the physician shall assign a percentage of disability to
17 such partial disability. If such member then becomes entitled to a
18 disability benefit under either subsection E or subsection G of this
19 section, the benefit payable shall be reduced by the percentage
20 which such member was determined to be disabled at the postoffer,
21 preemployment physical unless the Board makes a determination that
22 the initially determined percentage of disability at the
23 preemployment physical examination is unrelated to the reason for
24 the disability currently sought pursuant to subsection E or

1 subsection G of this section. Upon employment, the member shall
2 disclose to the Board any disability payments received from any
3 source. The amount of disability to be paid to any member cannot
4 exceed one hundred percent (100%) disability from all sources. The
5 provisions of this subsection shall apply only to members whose
6 effective date of membership is on or after July 1, 2000.

7 L. In addition to the pension provided for under subsection F
8 of this section, if the member has one or more children under the
9 age of eighteen (18) years or under the age of twenty-two (22) years
10 if the child is enrolled full-time in and is regularly attending a
11 public or private school or any institution of higher education,
12 Four Hundred Dollars (\$400.00) a month shall be paid from the Fund
13 for the support of each surviving child to the member or person
14 having the care and custody of such children until each child
15 reaches the age of eighteen (18) years or reaches the age of twenty-
16 two (22) years if the child is enrolled full-time in and is
17 regularly attending a public or private school or any institution of
18 higher education.

19 M. Notwithstanding any other provisions in Section 2-300
20 through 2-315 of this title, in order to be eligible to receive
21 disability benefits, a member who meets the definition of disability
22 as defined in paragraph ~~11~~ 12 of Section 2-300 of this title shall
23 file the member's completed application for disability benefits with
24 the System before such member's date of termination from service and

1 provide such additional information that the System's rules require
2 within six (6) months of the System's receipt of such application.
3 If the member's completed application for disability benefits is not
4 filed with the System before the member's date of termination from
5 service or such additional information as is required under the
6 System's rules is not provided within six (6) months of the System's
7 receipt of such application, such member shall be eligible only for
8 such other benefits as are available to members of the System and
9 shall not be eligible to receive any disability benefits. For good
10 cause shown, the Board of Trustees may waive the requirement that
11 the disability application be filed before the member's date of
12 termination from service. In no event shall a member be eligible to
13 receive any disability benefit if the member's completed application
14 is filed more than six (6) months after the member's date of
15 termination from service.

16 N. If the requirements of Section 2-305.1C of this title are
17 satisfied, a member who, by reason of disability or attainment of
18 normal retirement date or age, is separated from service as a public
19 safety officer with the member's participating employer may elect to
20 have payment made directly to the provider for qualified health
21 insurance premiums by deduction from his or her monthly disability
22 benefit or monthly retirement payment, after December 31, 2006, in
23 accordance with Section 402(1) of the Internal Revenue Code of 1986,
24 as amended. For distributions made after December 29, 2022, the

1 election provided for under Section 402(1) of the Internal Revenue
2 Code of 1986, as amended, may be made whether payment of the
3 premiums is made directly to the provider of the accident or health
4 plan or qualified long-term care insurance contract by deduction
5 from a distribution from the System or is made to the member.

6 SECTION 4. If the Emergency Clause is not approved pursuant to
7 the requirements of the Oklahoma Constitution as part of this
8 measure, the effective date of Section 1 of this act shall be
9 October 1, 2026.

10 SECTION 5. If the Emergency Clause is not approved pursuant to
11 the requirements of the Oklahoma Constitution as part of this
12 measure, the effective date of Sections 2 and 3 of this act shall be
13 November 1, 2026.

14 SECTION 6. Except as otherwise provided by Section 4 of this
15 act, Section 1 of this act shall become effective immediately upon
16 signature by the Governor or as otherwise provided by Section 58 of
17 Article V of the Oklahoma Constitution.

18 SECTION 7. Except as otherwise provided by Section 5 of this
19 act, Sections 2 and 3 of this act shall become effective July 1,
20 2026.

21 SECTION 8. It being immediately necessary for the preservation
22 of the public peace, health or safety, an emergency is hereby
23 declared to exist, by reason whereof this act shall take effect and
24 be in full force from and after its passage and approval.

1 Passed the House of Representatives the 11th day of March, 2026.

2
3 _____
4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the ____ day of _____, 2026.

7
8 _____
9 Presiding Officer of the Senate